

MORNING BRIEFING — TUESDAY 1 SEPTEMBER 2026

Generated pre-European open • London timezone (BST, UTC+1) • Data collected via web search covering the US session of Monday 31 August and the Asian session of Tuesday 1 September • Approximate collection window: late evening 31 Aug – early morning 1 Sept BST

2. IMPORTANT NEWS

US strikes Iranian rocket launchers on Larak Island; Iran retaliates against US bases in Jordan

CNBC, Al Jazeera • Sunday 30 Aug – Monday 31 Aug

First direct exchange of fire between US and Iran in roughly a month, six months into the conflict. IRGC forces were seen preparing sea-mine-laden rockets aimed at the Strait of Hormuz before the US strike; Iran responded with missiles/drones on the King Hussein and Al Azraq bases in Jordan. Ends the market's "de-escalation" bet and re-ignites the oil risk premium.

Brent jumps above \$90/bbl, WTI above \$86 after the Larak Island strike

CNBC, Investing.com, The Hill • Monday 31 Aug

Brent (Nov contract) +3.2% to \$90.90/bbl; WTI (Oct) +3.5% to \$86.28/bbl. Strait of Hormuz vessel traffic down over 80% since the war began (28 Feb). Tanker freight rates (Middle East Gulf-Japan, LR2) hit a record \$107.72/ton on 27 Aug. Direct read-through to inflation, ECB/Fed policy and airline/shipping cost bases.

Warsh's Jackson Hole speech pushes September Fed hike odds to 60-66%

CNBC, Forbes/CME FedWatch, TheStreet • Friday 28 Aug, still moving markets Monday

Fed Chair Kevin Warsh gave a hawkish reading of inflation at Jackson Hole, reaffirming the 2% PCE target and saying underlying trends have not "meaningfully improved." CME FedWatch-implied odds of a 25bp hike at the 15-16 Sept FOMC jumped from ~30% pre-speech to 60-66%. US 2Y yield +12bp to 4.35%; 10Y near 4.72-4.75%.

US equities close lower Monday as Iran tensions flare, but still post a positive August

CNBC, Yahoo Finance, The Motley Fool, 24/7 Wall St. • Monday 31 Aug close

S&P 500 -0.33% to 7,686.14; Dow -0.70% (-374pt) to 53,185.90; Nasdaq Composite -0.12% to 26,370.89. Dow led the selling. Risk-off tone tied directly to the US-Iran exchange of fire, not to a fundamental shift in earnings outlook.

German 10Y Bund yield hits 3.3%, highest since May 2011, as ECB hike bets build

Trading Economics, market commentary • Monday 31 Aug

Markets are pricing the ECB deposit rate near 2.7% by December, implying roughly 80% odds of a second hike after one expected as soon as September. Combined with the Fed's hawkish pivot, this is a global rates repricing, not a eurozone-specific move — keep duration and rate-sensitive equities (utilities, real estate) on watch.

3. EUROPEAN FUTURES (PRE-OPEN)

CONTRACT	LEVEL	INDICATIVE MOVE	COLLECTION TIME
Euro Stoxx 50 / Stoxx 600 futures	n/a (level)	−0.2%	Pre-open, 1 Sept
DAX futures	n/a	Directionally negative, in line with Stoxx 600	—
CAC 40 futures	n/a	Directionally negative, in line with Stoxx 600	—
FTSE 100 futures	n/a	Directionally negative, in line with Stoxx 600	—
US context — overnight futures			
S&P 500 futures	n/a	−0.27%	Overnight, 1 Sept
Nasdaq 100 futures	n/a	+0.06%	Overnight, 1 Sept
Dow futures	n/a	−0.60%	Overnight, 1 Sept

Cautious, slightly negative open indicated. Two forces pulling in opposite directions: rising oil and hawkish central bank repricing (Fed + ECB) argue for a soft open, while Nasdaq futures' small positive print shows mega-cap tech holding up better than cyclicals. Exact index-level futures prints for DAX/CAC/FTSE were not available from public sources this morning; direction is inferred from the broader Stoxx 600 futures move.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES

INDEX	CLOSE	CHANGE	SESSION
Euro Stoxx 50	~6,480	−0.09%	Mon 31 Aug
DAX 40	26,338	−0.87% (−231pt)	Mon 31 Aug
CAC 40	n/a (Mon close)	n/a — last confirmed 8,401.18	Fri 28 Aug: +0.98%
FTSE 100	10,824.26	+0.29%	Fri 28 Aug (UK Summer Bank Holiday Mon 31 Aug — market closed)

UK markets were shut Monday for the Summer Bank Holiday, so FTSE's reference close is Friday. DAX gave back 0.87% Monday as the Iran escalation and Bund yield spike weighed on rate-sensitive and industrial names. Euro Stoxx 50 broadly flat (-0.09%). CAC 40's Monday close was not available from public sources at collection time; its last confirmed print (Friday) was firmly positive.

5. US MARKETS — YESTERDAY'S SESSION (MONDAY 31 AUGUST)

INDEX	CLOSE	CHANGE	NOTE
S&P 500	7,686.14	−0.33%	Still positive for August
Dow Jones Industrial Average	53,185.90	−0.70% (−374.09pt)	Led the session's losses
Nasdaq Composite	26,370.89	−0.12%	Most resilient of the three

Risk-off session driven squarely by the US-Iran exchange of fire, not by earnings or data. Dow underperformed on its heavier industrial/energy-cost sensitivity; Nasdaq's mega-cap tech weighting cushioned the index. Energy and defense-linked names were the notable outperformers intraday as oil spiked; rate-sensitive cyclicals and long-duration growth names lagged as the 10Y yield pushed toward 4.75% on hawkish Fed repricing. Takeaway: markets are now trading two live tail risks simultaneously — a hot war escalation and a hawkish pivot at the Fed — a combination that argues for a defensive, headline-driven session again today.

6. ASIAN MARKETS — OVERNIGHT SESSION (TUESDAY 1 SEPTEMBER)

INDEX	LEVEL	CHANGE
Nikkei 225	<66,000	−0.6%
Hang Seng	25,567	−0.1% (Mon ref.)
Shanghai Composite	n/a (level)	+0.86%
Kospi	n/a	n/a

Mixed-to-soft Asian tape. Nikkei fell below 66,000 as rising oil prices revive Japanese inflation worries and add to expectations of a near-term BoJ hike — Japan now facing the same imported-inflation dynamic as Europe. Hang Seng roughly flat/soft. Shanghai Composite the outperformer, up 0.86%, decoupling from the regional risk-off tone; mainland investors appear less exposed to the Hormuz/tanker dynamic than North Asian importers. Kospi data unavailable from public sources at collection time.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	COLLECTION TIME
Brent (ICE, USD/bbl)	90.90	+3.2%	Mon 31 Aug (post-Larak Island strike)
WTI (NYMEX, USD/bbl)	86.28-86.57	+3.5% / +0.94%	Mon 31 Aug – Tue 1 Sept
Gold (XAU/USD, USD/oz)	4,451.48	vs prior close 4,455.02	1 Sept, early session
Copper (COMEX, USD/lb)	6.62	+0.47%	1 Sept
Natural gas (Henry Hub, USD/MMBtu)	~2.90	–0.34% (approx., date uncertain)	n/a exact

Oil is the story: Brent above \$90 and WTI above \$86 on the direct US-Iran military exchange, with Strait of Hormuz traffic down over 80% since the war began in February and tanker freight rates at record highs. This is now feeding directly into the Fed/ECB hawkish narrative — energy-driven inflation is exactly the channel both Warsh and the ECB are worried about. Gold is consolidating just under \$4,460, held back by the higher-rates backdrop even as geopolitical risk would normally support it. Copper firm, supported by resilient industrial demand.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	COLLECTION TIME
US 10-Year Treasury	4.72-4.75%	Up sharply post-Warsh (2Y +12bp to 4.35%)	Mon 31 Aug
German 10Y Bund	3.30%	Highest since May 2011	Mon 31 Aug
EUR/USD	1.1619	n/a vs prior close	1 Sept
GBP/USD	1.3551	n/a vs prior close	1 Sept
DXY (Dollar Index)	99.56-99.71	–0.12% (intraday)	1 Sept

A genuinely global hawkish repricing: US 2Y and 10Y both jumped after Warsh's Jackson Hole speech pushed September hike odds to 60–66%, while the German Bund 10Y hit a 15-year high on ECB hike bets (deposit rate seen near 2.7% by December, ~80% odds of a second hike). US-Germany 10Y spread remains wide. EUR/USD holding above 1.16 despite the Fed repricing, suggesting the market sees the ECB moving in parallel rather than falling behind. Watch today's ISM/PMI prints and eurozone flash inflation for confirmation of both central banks' next move.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

ISSUER	CURRENCY	SIZE	MATURITY	COUPON / SPREAD	NOTES
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No individual corporate IG/HY/SSA/financials deal terms for 31 Aug could be reliably sourced from public search results (Bloomberg/IFR/GlobalCapital terminal access required). August was reported as a record issuance month for European financials.

PIPELINE / EXPECTED TODAY & THIS WEEK

Trade press (The DESK, GlobalCapital) flags a heavy post-Labor Day / post-summer ramp-up in euro corporate issuance for September, historically one of the year's busiest primary months. No specific mandated deal names for today were available from public sources. Expect issuers to watch today's ISM/PMI data and any further Iran headlines before pricing, given the rates volatility.

KEY SPREADS

INDEX	LEVEL	MOVE / DIRECTION
iTraxx Europe Main 5Y	n/a	Real-time level not available from public sources
iTraxx Europe Crossover 5Y	n/a	Real-time level not available from public sources
CDX IG 5Y (USD)	n/a	Real-time level not available from public sources
EUR IG corporate aggregate spread	~205bp	WIDENING
GBP IG corporate aggregate spread	~207bp	WIDENING
EUR HY spread	~585bp	WIDENING (+41BP)

COMMENTARY

Primary market tone is cautious rather than shut. EUR IG and HY aggregate spreads have widened, and HY/IG funds are seeing outflows described as the largest year-to-date since 2002 — a genuine risk-appetite signal, not just a seasonal August lull. The combination of a hawkish Fed/ECB repricing and a live geopolitical shock (Iran) is a difficult backdrop for issuers to price into; expect any deals today to carry wider new-issue premiums than in August. Sectors we track — industrials, transport, energy, financials — will be the ones testing investor appetite first as September issuance ramps up; financials had a record August and should lead again.

10. ECONOMIC CALENDAR — TODAY (1 SEPTEMBER)

LONDON TIME	INDICATOR	CONSENSUS	IMPORTANCE
Morning	Eurozone flash CPI (initial reading)	n/a	HIGH
Morning	Eurozone / UK final S&P Global Manufacturing PMI	n/a	MEDIUM
Morning	UK mortgage approvals & net lending	n/a	MEDIUM
13:45	US S&P Global Manufacturing PMI (final)	53.2 (prior 53.2)	MEDIUM
14:00	US ISM Manufacturing PMI	55.2 (prior 55.6)	HIGH
Afternoon	US JOLTS Job Openings	n/a	MEDIUM

Eurozone flash CPI is the key European print given the ECB's hawkish repricing this week — a hot number cements September hike odds. US ISM Manufacturing is the marquee US release; a print above the 55.2 consensus would reinforce the Fed hike narrative already running at 60-66% odds, while a miss would inject two-way risk into the rates market.

11. CORPORATE EVENTS & EARNINGS

COMPANY	MARKET	EVENT
No confirmed large-cap European or US earnings/AGM releases for 1 September could be reliably sourced from public search results. Early September sits between reporting seasons (Q2 largely wrapped, Q3 season starts mid-October); calendar is genuinely light today.		
With the corporate calendar light, today's session will be driven almost entirely by macro (ISM/PMI, eurozone CPI) and geopolitical (Iran) headlines rather than single-name catalysts.		

12. STOCKS TO WATCH

Frontline (FRO) — NYSE/ Oslo	Tanker rates at multi-decade highs on Hormuz disruption; stock +103% YTD. Direct beneficiary of any further escalation; BofA and Jefferies both positive even in a de-escalation scenario.	Bullish
Rheinmetall (RHM.DE) — DAX	+18% YTD, part of the German defense rush alongside MTU and Airbus as US-Iran tensions and broader foreign-policy risk keep defense budgets in focus.	Bullish
Airbus (AIR.PA) — CAC 40	Dual exposure: defense-order tailwind from the European rearmament trade, offset by higher jet fuel costs for airline customers as oil spikes above \$90.	Mixed / watch
TotalEnergies (TTE.PA) / Shell (SHEL.L)	Brent above \$90 lifts FCF and upstream margins directly. Asymmetric risk: any Iran de-escalation headline would reverse the move quickly.	Bullish (oil-linked)
MTU Aero Engines (MTX.DE) — DAX	Named alongside Rheinmetall/Airbus/Infineon as part of Germany's defense-sector rush; also carries jet-fuel cost sensitivity via its civil aftermarket business.	Bullish
European banks (BNP Paribas, SocGen, Deutsche Bank)	German Bund 10Y at a 15-year high and ECB hikes now priced with ~80% odds by year-end — a steeper, higher curve is generally NII-positive for eurozone banks.	Bullish (rates-linked)
Utilities / real estate (SSE, Vonovia)	Rate-sensitive sectors directly exposed to the Bund/Treasury yield spike; historically underperform when long yields re-rate higher this quickly.	Bearish (rates-linked)
Nikkei-listed exporters (Toyota, Sony)	Oil-driven Japanese inflation is adding to BoJ hike expectations; a stronger yen scenario would pressure exporter earnings. Nikkei already down 0.6% below 66,000 overnight.	Bearish / watch

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

Fed turns hawkish under Warsh: Jackson Hole speech pushed September hike odds from ~30% to 60-66% (CME FedWatch). 2Y yield +12bp to 4.35%, 10Y near 4.72-4.75%.

ECB following in parallel: German Bund 10Y at 3.30%, highest since May 2011. Markets price the deposit rate near 2.7% by December — roughly 80% odds of a second hike after one expected as soon as September.

Oil-driven inflation channel is now global: Brent above \$90 is the direct transmission mechanism feeding both the Fed's and the ECB's hawkish repricing, and is now showing up in Japan too (Nikkei sold off on the same logic).

CORPORATE

European financials had a record August for bond issuance, per GlobalCapital, ahead of what trade press expects to be a very heavy September primary calendar.

Credit funds under pressure: HY/IG outflows described as the largest YTD since 2002; EUR IG aggregate spreads near 205bp and EUR HY near 585bp, both widening.

Defense sector momentum continues in Germany (Rheinmetall +18% YTD) and in tanker shipping (Frontline +103% YTD), both direct beneficiaries of the ongoing Iran conflict.

POLITICAL / GEOPOLITICAL

US-Iran war, six months in: First direct exchange of fire in a month (Larak Island strike / Jordan base retaliation) ends the market's de-escalation bet. Strait of Hormuz traffic down over 80% since the war began 28 February.

Tanker/insurance market distortion: LR2 freight rates hit a record \$107.72/ton on 27 Aug; war-risk insurance premiums reportedly 7.5-10% of hull value. This is now a structural, not transient, cost layer for global energy shipping.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. US ISM Manufacturing PMI (14:00 BST)

A beat reinforces the 60-66% September hike pricing already in the market; a miss reopens two-way risk on rates.

2. Eurozone flash CPI

Key confirmation point for the ECB's own hawkish repricing after the Bund yield spike to 3.30%.

3. Any further Iran/Hormuz headlines

The conflict is now binary and headline-driven session to session; a further strike extends the oil rally, any ceasefire signal reverses it sharply.

4. Oil above \$90 feeding into equities

Energy/defense/tanker names bid, rate- and fuel-cost-sensitive names (utilities, airlines, real estate) under pressure.

5. German Bund at a 15-year yield high

Sets the tone for European bank stocks (NII-positive) versus duration-sensitive sectors (negative) today.

THIS WEEK'S TOP 5

1. US labour market data into the FOMC

JOLTS today, with payrolls typically due later in the week — the key remaining input before the 15-16 Sept Fed decision.

2. September primary bond market ramp-up

Trade press expects a very heavy week for euro corporate issuance; watch new-issue premiums given wider spreads.

3. Iran conflict trajectory

Whether the Larak Island/Jordan exchange stays contained or escalates further will dictate the oil risk premium all week.

4. ECB commentary ahead of a likely September move

Any officials' remarks this week will be read against the 80%-priced second hike by December.

5. Credit fund flows

Watch whether the largest-since-2002 YTD HY/IG outflows continue or stabilize as September issuance begins.

THIS MONTH'S TOP 5

1. FOMC decision, 15-16 September

Odds at 60-66% for a hike; the outcome and Warsh's tone will set the rates trajectory into year-end.

2. ECB decision (expected as soon as September)

Markets price ~80% odds of a second hike by December, taking the deposit rate to ~2.7%.

3. US-Iran war, seven-month mark

Structural disruption to the Strait of Hormuz and tanker markets shows no sign of resolving; oil above \$90 is the key stagflation risk for both the Fed and ECB.

4. September euro/USD primary bond calendar

Historically one of the heaviest issuance months; test of investor appetite after record August financials supply and widening spreads.

5. BoJ policy path

Oil-driven Japanese inflation is now feeding near-term BoJ hike expectations, a third major central bank moving hawkish in parallel.

15. KEY TRENDS TO WATCH

1 DAY

ISM/PMI + eurozone CPI: The two data points most likely to move rates and equities intraday.

Iran headline risk: Binary catalyst for oil and safe-haven flows through the session.

Sector rotation: Energy/defense/tankers vs. utilities/real estate/airlines on the rates and oil moves.

1 WEEK

US labour data feeding directly into FOMC positioning.

September bond issuance wave testing appetite after August's record financials supply and current spread widening.

Iran conflict trajectory as the dominant swing factor for oil and rates volatility.

1 MONTH

FOMC (15-16 Sept) and a likely ECB hike — the first synchronized hawkish move from both central banks in this cycle.

Oil above \$90 as a stagflation risk for both US and European growth/inflation trajectories.

Credit market stress test: whether record outflows and widening spreads stabilize or deepen as the September primary calendar opens.

SOURCES USED

- CNBC — Iran/Larak Island strikes, Jackson Hole/Warsh coverage, US market close 31 Aug, Asia-Pacific markets
- Al Jazeera — US-Iran strikes and retaliation, Strait of Hormuz shipping impact
- The Hill, Investing.com — oil price reaction to Larak Island strike
- Yahoo Finance, The Motley Fool, 24/7 Wall St. — US and European index closes
- Forbes / CME FedWatch, TheStreet, Morningstar — September Fed hike odds
- Trading Economics — German Bund yield, DXY, commodities
- GlobalCapital, The DESK (fi-desk.com) — European primary bond market conditions and spreads
- Investing.com — US ISM/S&P Global PMI calendar, EUR/USD, GBP/USD levels
- EIA, Bloomberg, Congress.gov CRS — Strait of Hormuz tanker rates and shipping disruption

Data collected automatically via web search ahead of the European open on 1 September 2026. Figures marked n/a could not be reliably sourced from public search results and require Bloomberg Terminal / Refinitiv Eikon / ICE access to confirm. Some data points reflect the most recent reliably-sourced session (e.g. Friday's FTSE close following the UK bank holiday) rather than the prior calendar day. Verify all figures before making any investment decision. This document is not investment advice.